

2025 California Adjustments — Residents

CA (540)

Important: Attach this schedule behind Form 540, Side 6 as a supporting California schedule.

Name(s) as shown on tax return

Marcus Chen

SSN or ITIN

345-67-8901

Part I Income Adjustment Schedule

Section A — Income from federal Form 1040 or 1040-SR

A Federal Amounts
(taxable amounts from your federal tax return)

B Subtractions
See instructions

C Additions
See instructions

1 a Total amount from federal Form(s) W-2, box 1. See instructions 1a	☒ 220,000	☒	☒
b Household employee wages not reported on federal Form(s) W-2 1b	☒	☒	☒
c Tip income not reported on line 1a 1c	☒	☒	☒
d Medicaid waiver payments not reported on federal Form(s) W-2. See instructions 1d	☒	☒	☒
e Taxable dependent care benefits from federal Form 2441, line 26 1e	☒	☒	☒
f Employer-provided adoption benefits from federal Form 8839, line 31 1f	☒	☒	☒
g Wages from federal Form 8919, line 6. 1g	☒	☒	☒
h Other earned income. See instr. Enter type & amount. ☒ 1h	☒	☒	☒
i Nontaxable combat pay election. See instructions. 1i			☒
z Add line 1a through line 1i. 1z	☒ 220,000	☒	☒
2 Taxable interest. a ☒ 2b	☒ 700	☒	☒
3 Ordinary dividends. See instructions. a ☒ 2,000 3b	☒ 3,000	☒	☒
4 IRA distributions. See instructions. a ☒ 4b	☒	☒	☒
5 Pensions and annuities. See instructions. a ☒ 5b	☒	☒	☒
6 Social security benefits. a ☒ 6b	☒	☒	
7 a Capital gain or (loss). See instructions 7a	☒ 7,500	☒	☒

Section B — Additional Income from federal Schedule 1 (Form 1040)

1 Taxable refunds, credits, or offsets of state and local income taxes 1	☒	☒	
2 a Alimony received. b Date of original divorce or separation agreement. See instr. ☒ 2a	☒		☒
3 Business income or (loss). See instructions. . . . 3	☒	☒	☒
4 Other gains or (losses) 4	☒	☒	☒
5 Rental real estate, royalties, partnerships, S corporations, trusts, etc. 5	☒	☒	☒
6 Farm income or (loss) 6	☒	☒	☒
7 Unemployment compensation 7	☒	☒	

Section B – Additional Income Continued	A Federal Amounts (taxable amounts from your federal tax return)	B Subtractions See instructions	C Additions See instructions
8 Other income:			
a Federal net operating loss. 8a	☐ ()		☐
b Gambling. 8b	☐	☐	
c Cancellation of debt. 8c	☐	☐	☐
d Foreign earned income exclusion from federal Form 2555. 8d	☐ ()		☐
e Income from federal Form 8853. 8e	☐		☐
f Income from federal Form 8889. 8f	☐	☐	
g Alaska Permanent Fund dividends. 8g	☐		
h Jury duty pay. 8h	☐		
i Prizes and awards. 8i	☐		
j Activity not engaged in for profit income. 8j	☐		
k Stock options. 8k	☐		☐
l Income from the rental of personal property if you engaged in the rental for profit but were not in the business of renting such property. . . 8l	☐		
m Olympic and Paralympic medals and USOC prize money. 8m	☐		
n IRC Section 951(a) inclusion. 8n	☐	☐	
o IRC Section 951A(a) inclusion. 8o	☐	☐	
p IRC Section 461(l) excess business loss adjustment. . . 8p	☐	☐	☐
q Taxable distributions from an ABLE account. . . 8q	☐		
r Scholarship and fellowship grants not reported on federal Form(s) W-2. 8r	☐		
s Nontaxable amount of Medicaid waiver payments included on federal Form 1040, line 1a or line 1d. . 8s	☐ ()		
t Pension or annuity from a nonqualified deferred compensation plan or a nongovernmental IRC Section 457 plan. 8t	☐		
u Wages earned while incarcerated. 8u	☐		
v Digital assets received as ordinary income not reported elsewhere. 8v	☐	☐	☐
z Other income. List type and amount. ☐ _____ 8z	☐	☐	☐

Section B – Additional Income Continued	A Federal Amounts (taxable amounts from your federal tax return)	B Subtractions See instructions	C Additions See instructions
9 a Total other income. Add line 8a through line 8z 9a	☐	☐	☐
b1 Disaster loss deduction from form FTB 3805V. . 9b1		☐	
b2 NOL deduction from form FTB 3805V 9b2		☐	
b3 NOL deduction from form FTB 3805Z, FTB 3807, or FTB 3809 9b3		☐	
10 Total. Add Section A, line 1z through line 7a, and Section B, line 1 through line 7, and line 9a in column A and column C. Add Section A, line 1z through line 7a, and Section B, line 1 through line 7, line 9a, and line 9b1 through line 9b3 in column B (as applicable). See instructions. 10	☐ 230,500	☐	☐

Section C – Adjustments to Income
from federal Schedule 1 (Form 1040)

11 Educator expenses 11	☐	☐	
12 Certain business expenses of reservists, performing artists, and fee-basis government officials. 12	☐	☐	☐
13 Health savings account deduction 13	☐	☐	
14 Moving expenses. Attach form FTB 3913. See instructions 14	☐		☐
15 Deductible part of self-employment tax. See instructions. 15	☐	☐	
16 Self-employed SEP, SIMPLE, and qualified plans. . 16	☐		
17 Self-employed health insurance deduction. See instructions. 17	☐	☐	
18 Penalty on early withdrawal of savings 18	☐		
19 a Alimony paid. 19a	☐		☐
b Recipient's: SSN ☐			
Last Name ☐			
c Date of original divorce or separation agreement. See instr. ☐			
20 IRA deduction 20	☐	☐	☐
21 Student loan interest deduction 21	☐		☐
22 Reserved for future use 22			
23 Archer MSA deduction. 23	☐		

Section C – Adjustments to Income Continued		A Federal Amounts (taxable amounts from your federal tax return)	B Subtractions See instructions	C Additions See instructions
24 Other adjustments:				
a Jury duty pay 24a	☐			
b Deductible expenses related to income reported on line 8l from the rental of personal property engaged in for profit. 24b	☐	☐	☐	
c Nontaxable amount of the value of Olympic and Paralympic medals and USOC prize money reported on line 8m 24c	☐	☐		
d Reforestation amortization and expenses. 24d	☐	☐		
e Repayment of supplemental unemployment benefits under the federal Trade Act of 1974 . . . 24e	☐			
f Contributions to IRC Section 501(c)(18)(D) pension plans 24f	☐	☐	☐	
g Contributions by certain chaplains to IRC Section 403(b) plans 24g	☐	☐	☐	
h Attorney fees and court costs for actions involving certain unlawful discrimination claims 24h	☐			
i Attorney fees and court costs you paid in connection with an award from the IRS for information you provided that helped the IRS detect tax law violations. 24i	☐	☐		
j Housing deduction from federal Form 2555 24j	☐	☐		
k Excess deductions of IRC Section 67(e) expenses from federal Schedule K-1 (Form 1041) 24k	☐			
z Other adjustments. List type and amount.				
☐ 24z	☐	☐	☐	
25 Total other adjustments. Add line 24a through line 24z 25	☐	☐	☐	
26 Add line 11 through line 23 and line 25 in columns A, B, and C. See instructions 26	☐	☐	☐	
27 Total. Subtract line 26 from line 10 in columns A, B, and C. See instructions 27	☐	230,500 ☐	☐	

Part II Adjustments to Federal Itemized Deductions

Check the box if you did NOT itemize for federal but will itemize for California ☒ ☐

	A Federal Amounts (from federal Schedule A (Form 1040))	B Subtractions See instructions	C Additions See instructions
Medical and Dental Expenses See instructions.			
1 Medical and dental expenses ☒ _____ 1			
2 Enter amount from federal Form 1040 or 1040-SR, line 11b. ☒ _____ 2			
3 Multiply line 2 by 7.5% (0.075) ☒ _____ 3			
4 Subtract line 3 from line 1. If line 3 is more than line 1, enter 0 4 ☒			☒
Taxes You Paid			
5 a State and local income tax or general sales taxes. 5a ☒	18,422	☒ 18,422	
b State and local real estate taxes 5b ☒			
c State and local personal property taxes 5c ☒			
d Add line 5a through line 5c. 5d ☒	18,422		
e Enter the smaller of line 5d or \$40,000 (\$20,000 if married filing separately) in column A. Enter the amount from line 5a, column B in line 5e, column B. Enter the difference from line 5d and line 5e, column A in line 5e, column C 5e ☒	18,422	☒ 18,422	☒
6 Other taxes. List type ☒ _____ 6 ☒		☒	☒
7 Add line 5e and line 6. 7 ☒	18,422	☒ 18,422	☒
Interest You Paid			
8 a Home mortgage interest and points reported to you on federal Form 1098 8a ☒			☒
b Home mortgage interest not reported to you on federal Form 1098. 8b ☒			☒
c Points not reported to you on federal Form 1098. 8c ☒			☒
d Reserved for future use 8d			
e Add line 8a through line 8c. 8e ☒		☒	☒
9 Investment interest. 9 ☒		☒	☒
10 Add line 8e and line 9. 10 ☒		☒	☒

Part II Adjustments to Federal Itemized Deductions Continued	A Federal Amounts (from federal Schedule A (Form 1040))	B Subtractions See instructions	C Additions See instructions
Gifts to Charity			
11 Gifts by cash or check. 11	☐	☐	☐
12 Other than by cash or check. 12	☐	☐	☐
13 Carryover from prior year. 13	☐	☐	☐
14 Add line 11 through line 13 14	☐	☐	☐
Casualty and Theft Losses			
15 Casualty or theft loss(es) (other than net qualified disaster losses). Attach federal Form 4684. See instructions . . 15	☐	☐	☐
Other Itemized Deductions			
16 Other—from list in federal instructions. 16	☐	☐	☐
17 Add lines 4, 7, 10, 14, 15, and 16 in columns A, B, and C. 17	☐ 18,422	☐ 18,422	☐
18 Total. Combine line 17 column A less column B plus column C 18			0

Job Expenses and Certain Miscellaneous Deductions

19 Unreimbursed employee expenses: job travel, union dues, job education, etc. Attach federal Form 2106 if required. See instructions 19

20 Tax preparation fees 20

21 Other expenses: investment, safe deposit box, etc. List type. 21

22 Add line 19 through line 21 22

23 Enter amount from federal Form 1040 or 1040-SR, line 11b 23

24 Multiply line 23 by 2% (0.02). If less than zero, enter 0. 24

25 Subtract line 24 from line 22. If line 24 is more than line 22, enter 0. 25

26 Total Itemized Deductions. Add line 18 and line 25 26

27 Other adjustments. See instructions. Specify. 27

28 Combine line 26 and line 27. 28

29 Is your federal AGI (Form 540, line 13) more than the amount shown below for your filing status?

Single or married/RDP filing separately	\$252,203
Head of household	\$378,310
Married/RDP filing jointly or qualifying surviving spouse/RDP.	\$504,411

No. Transfer the amount on line 28 to line 29.

Yes. Complete the Itemized Deductions Worksheet in the instructions for Schedule CA (540), line 29. 29

30 Enter the larger of the amount on line 29 or your standard deduction shown below:

Single or married/RDP filing separately. See instructions	\$5,706
Married/RDP filing jointly, head of household, or qualifying surviving spouse/RDP . .	\$11,412

Transfer the amount on line 30 to Form 540, line 18. 30 5,706